

from Medanta (Global Health) and Rainbow Hospitals, respectively.

Investors are increasingly looking at India's healthcare sector for secular returns amidst turbulent tides, with an increase in interest in healthcare providers, pharma, diagnostics and single-speciality providers since 2020, says the Bain report. Other factors that make the space attractive could be that many investors are familiar with the assets as these have gone through several rounds of due diligence and rank high in terms of governance, says Ankit Poddar, Director at consultancy Candle Partners, who leads the healthcare practice.

Healthcare providers, says the Bain report, continue to focus on growth, led by scale expansion through consolidation by large players and brownfield expansion, increased specialisation in service mix and cost optimisation initiatives. This has led to high average revenue per occupied bed, improved utilisation, and increased margins. "With robust and streamlined models emerging out of Covid-19, listed health providers have generated 2-3x the returns of the Nifty index in recent years," it says.

Temasek's Lambah says the healthcare sector is growing rapidly and attracting capital to fund this growth. "To serve this growth, several hospital chains have grown organically, across large cities, metros, and smaller towns. There has been consolidation amongst hospital chains, and we expect this organic and inorganic growth to continue," he says, adding that there is a large, underserved population that would benefit from access to the best possible healthcare services. "In addition, hospitals will need to cater to the ageing population, improve resource and operational efficiencies, manage rising costs, and achieve better patient outcomes," he says. The

Covid-19 pandemic, he adds, has highlighted the need for greater supply chain resilience and the potential of digitalisation in addressing this challenge. "Amidst global headwinds, as investors remain disciplined on valuation, growth prospects in the sector make it a favourable destination for capital. We see an opportunity for strategic consolidation where strong management can drive synergies for long-term value creation."

CONSOLIDATION

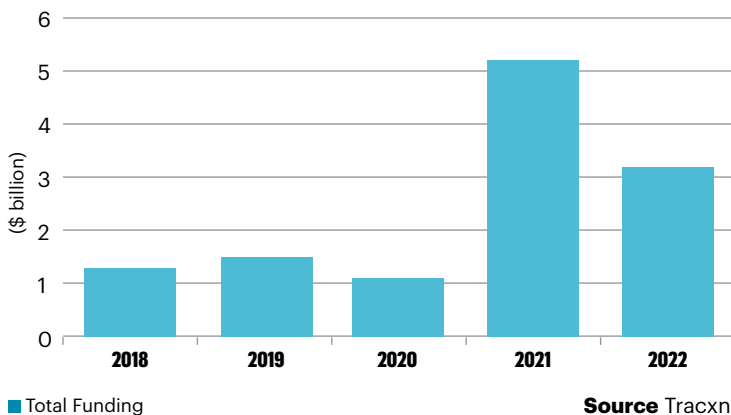
The private healthcare sector in India has seen consolidation in recent

years. "The fragmented market structure, with a large number of hospitals, has led to consolidation, and the trend has accelerated post-Covid-19," says EY's Movdawalla. India has around 45,000-50,000 hospitals, but only 3 per cent of them have more than 100 beds, per EY. In the US and China, the number is 40-45 per cent.

Movdawalla says the demand for quality private healthcare is increasing. "The higher preference for quality hospitals is driven by consumer choice, increased health insurance penetration, and increased sensitivity towards health

EYE ON HEALTHCARE

Investments in India's healthcare sector in the past five years...



...with some examples of global PE firms that invested in the space

- KKR & CO.:** Invested in several hospitals, including Max Healthcare and Radiant Life Care
- TPG Capital:** Invested in Manipal Health, one of the country's largest hospital chains
- Carlyle Group:** Invested in Metropolis Healthcare, a leading diagnostics services provider
- Advent International:** Invested in CARE Hospitals, one of the largest hospital chains in India
- Blackstone:** Invested in Mphasis, a healthcare IT services provider; it is reportedly in talks to acquire a stake in Global Hospitals, another leading chain

Source Industry